not become more likely to turn up heads after landing on tails for nine times in a row, so an overvalued stock (or stock market!) can stay overvalued for a surprisingly long time. That makes short-selling, or betting that stocks will drop, too risky for mere mortals.

[†] **International Harvester was the heir to McCormick Harvesting Machine Co., the manufacturer of the McCormick reaper that helped make the midwestern states the "breadbasket of the world." But International Harvester fell on hard times in the 1970s and, in 1985, sold its farm-equipment business to Tenneco. After changing its name to Navistar, the remaining company was booted from the Dow in 1991 (although it remains a member of the S & P 500 index). International Flavors & Fragrances, also a constituent of the S & P 500, had a total stock-market value of $3 billion in early 2003, versus $1.6 billion for Navistar.**

[*] **For more of Graham's thoughts on shareholder activism, see the commentary on Chapter 19. In criticizing Harvester for its refusal to maximize shareholder value, Graham uncannily anticipated the behavior of the company's future management. In 2001, a majority of shareholders voted to remove Navistar's restrictions against outside takeover bids—but the board of directors simply refused to implement the shareholders' wishes. It's remarkable that an antidemocratic tendency in the culture of some companies can endure for decades.**

[*] **McGraw-Hill remains a publicly-traded company that owns, among other operations, *BusinessWeek* magazine and Standard & Poor's Corp. McGraw–Edison is now a division of Cooper Industries.**

[*] **In "the May 1970 debacle" that Graham refers to, the U.S. stock market lost 5.5%. From the end of March to the end of June 1970, the S & P 500 index lost 19% of its value, one of the worst three-month returns on record.**

[*] **National Presto remains a publicly-traded company. National General was acquired in 1974 by another controversial conglomerate, American Financial Group, which at various times has had interests in cable television, banking, real estate, mutual funds, insurance, and bananas. AFG is also the final resting place of some of the assets of Penn Central Corp. (see Chapter 17).**

[*] **Whiting Corp. ended up a subsidiary of Wheelabrator-Frye, but was taken private in 1983. Willcox & Gibbs is now owned by Group Rexel, an electrical-equipment manufacturer that is a division of Pinault-Printemps-Redoute Group of France. Rexel's shares trade on the Paris Stock Exchange.**

[1] **Ask yourself which company's stock would be likely to rise more: one that discovered a cure for a rare cancer, or one that discovered a new way to dispose of a common kind of garbage. The cancer cure sounds more exciting to most investors, but a new way to get rid of trash**